ESG: Here Comes the Bill

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ESG: the kid has grown up. Who pays now?

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A Question that matters

One example - Climate investment needs: ≥ USD 6 trillion a year ("most conservative estimate") [1]

Sustainability consulting spend: X4 in 6 years [2]

The real stake is indirect costs

Direct operating costs: ESG teams, reporting, compliance

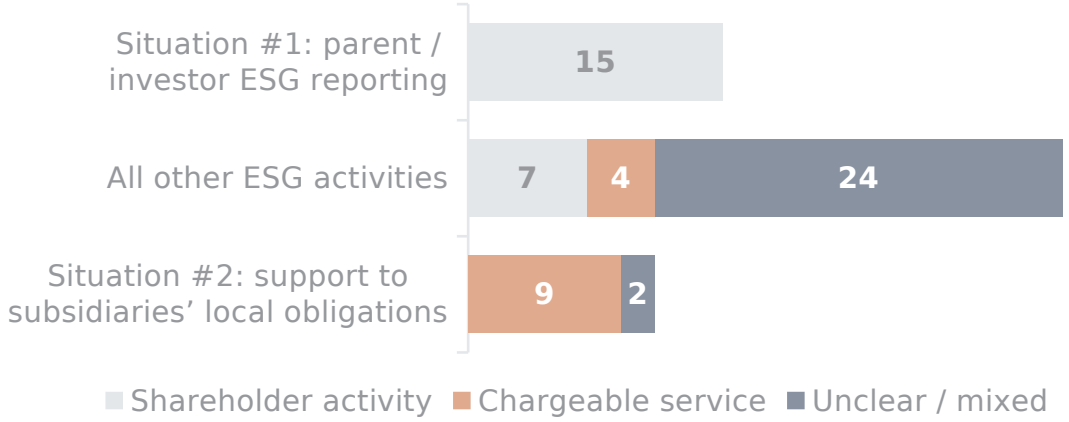
+ Carbon and environmental levies: EU ETS, CBAM, plastic taxes

Funding: the group, as an investor, favours ESG funds or lower-return green projects [4]

Indirect costs: a living wage at suppliers or low-carbon steel raises the cost of goods sold

25% of the 140 public comments raise ESG

How they treat ESG[3]



Note:

- We define here "ESG" as ESG and CSR
- What is at stake is the arm's length charge, not only the cost
- We discuss transfer pricing allocation only, not deductibility

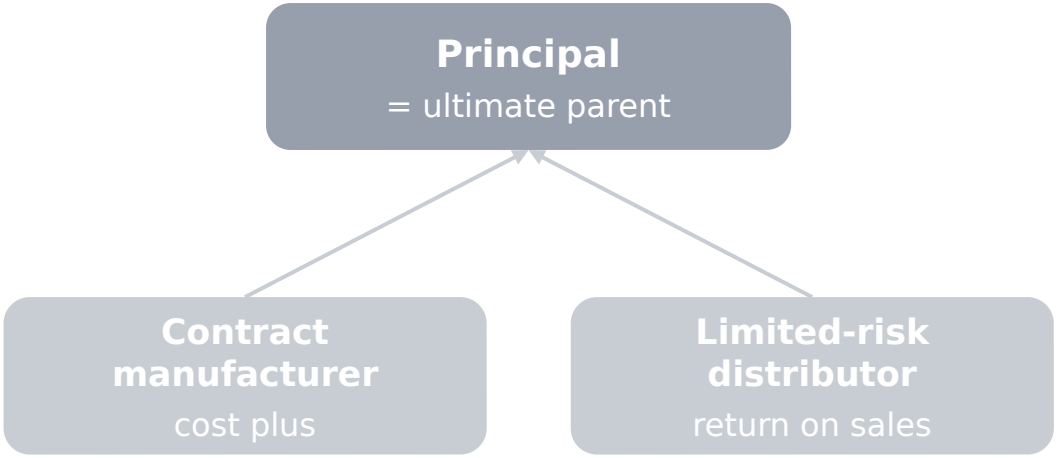
Should Chapter VII say more?

Three tests:

- **Needed?**
- **Practicable?**
- **Principled?**

[1] Climate Policy Initiative, Global Landscape of Climate Finance 2025. [2] Verdantix: USD 11.5 bn in 2022 → over USD 48 bn by 2028. [3] Athena Economics review of the 140 public comments on the Chapter VII draft. [4] The group's own preferences as an investor, not "Investor ESG" (slide 4).

Often, it may be that nothing needs to be done



Residual and ESG costs flow to the principal: ESG costs already land in the right place.

The question typically matters only where the existing transfer pricing policy does not already allocate ESG charges appropriately.

Proportionality: a compass for material cases, not a new compliance layer

The Framework

Driver	What it is	Suggested treatment	Open question
Compliance ESG	Required by law or regulation	Arm's length charge to the entity subject to the obligation	*When the obligation has been shifted to the parent:* *in a counterfactual arm's length world,* *who should pay?*
Investor ESG	Done for equity investors and ratings	Shareholder activity: borne by the ultimate parent	-
Business ESG	Would be done anyway, for commercial reasons	Ordinary service: The beneficiaries pay	*Measurement of entrepreneur vs routine may typically be a challenge*
Philanthropic ESG	Beyond the group's economic interest, no expected return	Ultimate parent?	*Is the ultimate parent the genuine entity which should bear those philanthropic charges?* *Can entities other than the parent decide on philanthropic issues (hence bear the charge)?* *In particular if comparables seem to do so?*

One particular ESG initiative may combine, to some extent, each one of the categories above.

The Framework – In practice

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Local ESG regulation

★ Ex.: India's mandatory CSR spend (2% of profits)

ESG reg. – Listing

★ Ex.: Climate disclosures required by the parent's listing

ESG reg. – Parent level

★ Ex.: Consolidated CSRD report exempting subsidiaries*

Ratings and indices

★ Ex.: Answering ESG rating questionnaires (MSCI, CDP)

Commitment toward investors

★ Ex.: Targets agreed with Climate Action 100+ investors

Required by clients

★ Ex.: Rating required by B2B clients, as a supplier (EcoVadis)

Cost efficiency

★ Ex.: Energy-efficiency programme that pays back

Brand protection

★ Ex.: Supplier code and factory audits after a reputational crisis

Pledges beyond business needs

★ Ex.: Salesforce "1-1-1": 1% of equity, product and staff time given away

* Where subsidiaries would fall below the CSRD thresholds on a standalone basis, the cost is a negative group synergy and can be treated as such.

Limits and conclusion

The Challenges in the Framework

Unbundling the components

How much is business, how much is philanthropy?
A mixed-activity question

Measuring induced costs

Not measured by tax functions today, but others already do it: economists price “green premia”

Conclusion: The Three Tests

Needed: a growing grey zone, growing amounts ✓

Practicable: proportionate, built on existing evidence ✓

Principled: derived from the benefit test and the ALP ✓

We are not raising the question, nor proposing a novel answer.

The arm’s length principle already does both. We merely make it explicit for ESG transactions, where they require it.

We want to keep flexing the bicep of the arm’s length principle.

Athena Economics is an independent economic consulting firm, based in Paris, specializing in transfer pricing and international tax matters.

Thank you

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